



Q.1 The cross elasticity of demand for complementary goods is:

- A. Undetermined.
- B. Positive.
- C. Equal to zero.
- D. Negative.**

Q.2 In case of perfectly inelastic demand, price elasticity of demand is:

- A. Equal to one
- B. Less than one
- C. Greater than one
- D. Equal to zero**

Q.3 The percentage change in quantity demanded due to percentage change in price is known as:

- A. Income elasticity of demand
- B. Cross elasticity of demand
- C. Price elasticity of supply
- D. Price elasticity of demand**

Q.4 All of the following are merits of pure socialism EXCEPT:

- A. Considerably good allocation of resources
- B. Bureaucracy and red tapism**
- C. Social justice
- D. Social security and welfare

Q.5 In pure socialism, _____ is/are considered as real owner/s of means of production:

- A. Single dictator
- B. Government**
- C. Individuals of the economy
- D. Both government and individuals of the economy

Q.6 Normative economics is often called as economics of:

- A. What is.
- B. Business and finance.
- C. Assumptions.
- D. What should be.**



Q.7 All of the following are merits of pure capitalism EXCEPT:

- A. Competition leads to increase in efficiency
 - B. Freedom of consumers and producers
 - C. Self-interest leads to increase in productivity
 - D. Inequality in the distribution of income and wealth**
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Q.8 Butter and margarine are considered as substitutes, if the price of butter increases, the quantity demanded for margarine would:

- A. Increases initially and then returns to its original position.
 - B. Increase.**
 - C. Remains constant.
 - D. Decrease.
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Q.9 Microeconomics deals with:

- A. Individual's decision to buy new clothes.
 - B. Price of a vegetable in a town.
 - C. Establishment of a new firm by a person.
 - D. All of the given options.**
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Q.10 Which of the following is/are objective/s of Islamic Economic System?

- A. Equitable distribution of income and wealth
 - B. Individual freedom consistent with social welfare
 - C. Universal brotherhood and justice
 - D. All of the given options**
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